SWINBURNE UNIVERSITY OF TECHNOLOGY

PRM60003

Risk & Strategy

CRICOS 00111D
TOID 3069

KNOWING

Assignment 1

Drawing on independent research and critical analysis of the concept of risk, evaluate the impact people's perceptions of risk can have on the successful implementation of a project in complex operating environments. Use case studies and examples to support your argument.

Submission Requirements

- 20 marks (20% of overall assessment)
  2000 words

Tips:

- Use the language and typology of risk correctly.
- Pay attention to referencing your work
- Seek out theorists, business, military and entrepreneurial leaders etc who are challenging conventional risk management.
- Use of unconventional frameworks and case studies, critical analysis and synthesis will be rewarded over rigid, linear thinking.
- Avoid using jargon and management consulting buzz words.
- Research widely including peer reviewed academic work.
- Avoid using personal examples.

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Descriptive vs Critical Thinking

Descriptive	**Critical**
states what happened	identifies the significance
gives the story so far	weighs up one piece of information against another
says how to do something	argues a case according to the evidence
notes the methods used	identifies whether something is appropriate or suitable
explains how something works	indicates why something will work (best)
says when something occurred	identifies why the timing is of importance
lists in any order	structures information in order of importance
states links between items	shows the relevance of links between pieces of information
gives information	draws conclusions

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Risk & Strategy

Class Discussion

In small groups explore develop a definition of strategy.

How is risk and strategy related?

Can you draw a framework, image, diagram etc to demonstrate the relationship between risk and strategy?

By the way, who are some of the leading thinkers on strategy?

Report back to class.

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Strategy

Objective

- What do you want to achieve?
- Survive on own terms or improve capacity for independent action (in other words to thrive).
- Cannot do this unless we interact in a variety of ways with the external environment – how inward looking is your company?
- Guided by principles – what we value – what do we want to achieve and at what cost?
- Can you embark on a risk assessment without first answering these questions?

- ***"I'm not interested in preserving the status quo; I want to overthrow it." (Machiavelli, The Prince).***

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Strategy

- Art of distributing means to fulfill ends - concerned not merely with activity but with effectiveness.
- Shaping the future to succeed (survival).
- A mental tapestry of changing intentions for harmonizing and focusing our efforts as a basis for realizing some aim or purpose in an unfolding and often unforeseen world of many bewildering events and many contending interests, (Boyd, J 1987, *The Strategic Game of ? And?)*
- Involves formulation and implementation (action).
- Clausewitz (1780 – 1831) – not taking the first step without considering the last – before making war decide what success looks like.
- Liddell Hart (1967) -
  - Adjust your ends to your means
  - Keep objectives in mind while adapting your plan to circumstances
  - Chose line of least expectation (against competition)
  - Exploit line of least resistance

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Strategy & Risk

- Aligning strategy and risk in order to succeed.
- Risk emphasised as the possibility of an effect on objectives.
- Uncertainty arises from those internal and external factors and influences (not always possible to predict and often affected by nuances and human factors).
- The achievement of objectives more likely when risk management (or better still – risk adaptation) is tied to strategy.

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Strategic planning

Shell focused on strategic planning (see Pierre Wack 1922 - 1997).

Many variables (political or economic) beyond an organisation's control – shift from prediction to being prepared and risk adaptation.

Preparing "institutional mind" for multiple futures (Schoemaker & Heijden, 2006).

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Strategy & Risk

The purpose of embedding risk management into your organisation's strategy is to:

- To improve our ability to shape and adapt to unfolding circumstances, so that we (as individuals or as groups, organisations or as a nation-state) can survive on our own terms. (*on adaptation of Boyd, J, 1987*)

- Need for interaction…see *Order Out of Chaos*, by Ilya Prigogine and Isabelle Stengers 1984; *Looking Glass Universe*, by Jon P. Briggs and F. David Peat, 1985)

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Case Study - NASA

“made of new metal alloys, some of which have not yet been invented” (JFK, 1962)

NASA & the Apollo Mission

- NASA was a constellation of teams conducting independent research
- Excellent at independent exploratory (analysis) work but not at integrating novel solutions into the whole (synthesis).
- Led to failures of pre-Apollo launches – rocket components behaved independently just like the teams who built them.
- The switch from research to development required integrating thousands of components – not academic but organisational.
- Enter George Mueller – vision was of a single interconnected mind / brought the perspective of an electrical engineer to create a managerial nervous system.
- Insisted on daily, organisation wide communications quick information exchange, all data open and available across the system.
- Built an internal internet / comms system where all teams could contribute.
- Went outside their system for expertise (Boyd)
- Needed to understand the project / mission as a whole / holistic awareness.
- Requires constant contextual understanding.

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Suggested Readings

Hart, Liddell B.H. (1929: 2008) *Strategy*. BN Publishing. Chpt 1, 2 &11.

Boyd, 1987, *The Strategic Game of ?and?*.

Freedman, Thomas. (2013). Strategy – A History. Oxford University Press.

Porter, Michael. E. (1979). How Competitive Forces Shape Strategy. *Harvard Business Review, 1-15, (March – April).*

Prigogine, I & Stengers, I. *(1984). Order Out of Chaos.* London : Heinemann.

Schoemaker, P., & van der Heijden, K. (1993). Strategic planning at Royal Dutch Shell. *Strategic Change*, 2(3), 157–171.

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